

Pearson Edexcel International GCSE

Predicted Paper — Moderate Difficulty

Economics — Level 1/2

PAPER 2: Macroeconomics and the Global Economy

Paper reference: 4EC1/02

Time: 1 hour 30 minutes

Total Marks: 80

Candidate surname	Other names
Centre Number	Candidate Number

Instructions

- Use black ink or ball-point pen.
- Fill in the boxes at the top of this page with your name, centre number and candidate number.
- Answer all questions.
- Answer the questions in the spaces provided – there may be more space than you need.
- Calculators may be used.
- You are advised to show all your working out with your answer clearly identified at the end of your solution.

Information

- The total mark for this paper is 80.
- The marks for each question are shown in brackets – use this as a guide as to how much time to spend on each question.

Advice

- Read each question carefully before you start to answer it.
- Try to answer every question.
- Check your answers if you have time at the end.

Answer ALL questions. Write your answers in the spaces provided.

Some questions must be answered with a cross in a box ☐. If you change your mind about an answer, put a line through the box and mark your new answer with a cross.

1 (a) Which **one** of the following is a benefit of economic growth? **(1)**

- ☐ **A** Higher levels of unemployment
- ☐ **B** Higher living standards
- ☐ **C** Lower tax revenue for the government
- ☐ **D** Lower levels of exports

(b) Which **one** of the following is an example of a leakage from the circular flow of income? **(1)**

- ☐ **A** Consumer spending
- ☐ **B** Business investment
- ☐ **C** Household savings
- ☐ **D** Government spending

(c) What is meant by the term **inflation**? **(2)**

(d) Describe **one** impact an ageing population may have on an economy. **(2)**

Figure 1 shows the components of Vietnam's gross domestic product (GDP) in 2023.

Component	Value (\$bn)
Consumption	280
Investment	85
Government spending	55
Exports	320
Imports	300

Figure 1

(e) Using the data in Figure 1, calculate the value of Vietnam's GDP in \$bn in 2023. You are advised to show your working. **(2)**

The Vietnamese Government introduced a subsidy on rice production in 2023.

(f) Using the diagram below, draw the effects of the introduction of the subsidy on the equilibrium price and quantity of rice in Vietnam. Label the new curve, the new equilibrium price and the new equilibrium quantity. **(3)**

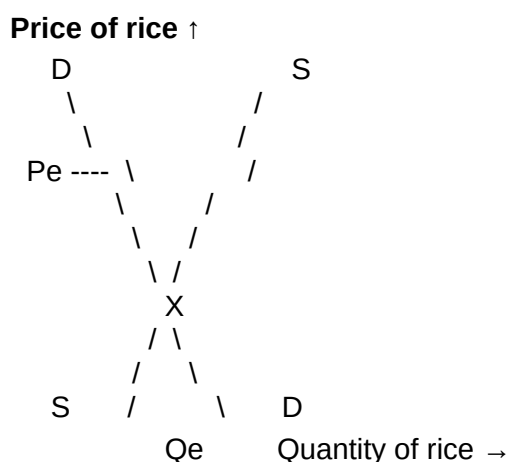


Figure 2

In 2023, Vietnam's economy grew by 5.1%. Unemployment fell to 2.3%, one of the lowest rates in Southeast Asia.

(g) Explain **one** reason why unemployment may fall during a period of economic growth. **(3)**

Vietnam is a member of the Association of Southeast Asian Nations (ASEAN), a trading bloc with 10 countries and a combined population of 680 million. ASEAN reduces trade barriers between member countries.

(h) With reference to the data above and your knowledge of economics, analyse the benefits to consumers in Vietnam of being a member of ASEAN. **(6)**

(Total for Question 1 = 20 marks)

[] Recession
Time →

Figure 3

Brazil's top income tax rate is 27.5%. Some economists argue the government should reduce income tax rates to stimulate economic activity. Others argue this would reduce government revenue and increase inequality.

(g) With reference to the data above and your knowledge of economics, assess the possible benefits for Brazil of reducing income tax rates. **(9)**

(Total for Question 2 = 20 marks)

- 3 (a) Which **one** of the following is an example of foreign direct investment (FDI)? (1)
- ☐ A An Indian family taking a holiday in Thailand
 - ☐ B A German car company building a factory in India
 - ☐ C An Indian student buying a British textbook online
 - ☐ D An Indian farmer exporting tea to the UK

The exchange rate between the Indian rupee (₹) and the US dollar (\$) is \$1 = ₹83.

- (b) How many US dollars (\$) would ₹8,300 be exchanged for? (1)
- ☐ A \$10
 - ☐ B \$100
 - ☐ C \$1,000
 - ☐ D \$83,000

The Kenyan shilling depreciated by 15% against the US dollar in 2023. Kenya exports tea, coffee and flowers to markets around the world.

- (c) Using the diagram below, draw the effects of the depreciation of the Kenyan shilling on the equilibrium price and quantity of Kenyan tea sold abroad. Label the new curve, the new equilibrium price and the new equilibrium quantity. (3)

Price of Kenyan tea ↑

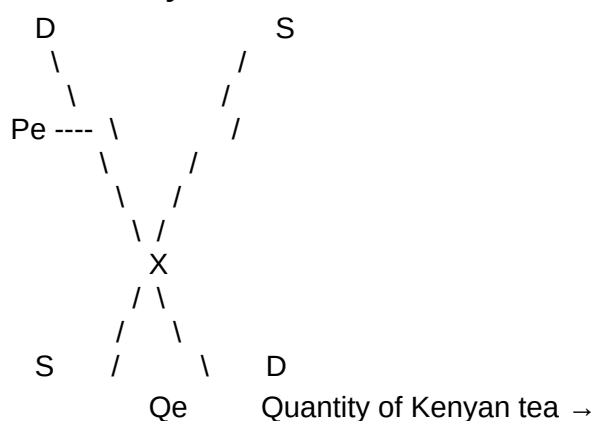


Figure 4

Global trade in goods reached a record \$33 trillion in 2022. Consumers in many countries such as India can now access products from around the world, often at lower prices than in the past.

- (d) With reference to the data above and your knowledge of economics, analyse the possible benefits of globalisation for consumers in a country such as India. (6)

In 2023, the Kenyan Government increased import tariffs on sugar from 35% to 50% to protect domestic sugar producers. Sugar is widely consumed in food and drinks across Kenya.

(e) With reference to the data above and your knowledge of economics, assess how an increase in import tariffs may affect consumers in a country such as Kenya. **(9)**

(Total for Question 3 = 20 marks)

4 Figure 5 shows Japan's Consumer Price Index (CPI) in 2022 and 2023.

Indicator	Value
Consumer Price Index 2022	100
Consumer Price Index 2023	104

Figure 5

(a) Using the data in Figure 5, calculate Japan's rate of inflation between 2022 and 2023. You are advised to show your working. **(2)**

In 2024, the Bank of Japan raised interest rates for the first time in 17 years, from -0.1% to 0.1%. The move was designed to return Japan to more normal monetary policy after years of very low interest rates.

(b) With reference to the data above and your knowledge of economics, analyse the possible effects on Japanese households of raising interest rates. **(6)**

The Japanese Government is investing ¥20 trillion in renewable energy over 10 years. The money is used for subsidies to firms producing solar panels, wind turbines and electric vehicle (EV) batteries. Japan aims to become carbon-neutral by 2050.

However, some critics argue that these subsidies are expensive for taxpayers and may not be the most efficient way to address climate change.

(c) With reference to the data above and your knowledge of economics, evaluate the use of government subsidies to support the renewable energy industry in a country such as Japan. **(12)**

(Total for Question 4 = 20 marks)

TOTAL FOR PAPER = 80 MARKS